MERIDIAN CAPITAL PARTNERS

Fixed Income Strategy - Rates Outlook

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Summary

The Treasury curve continues to display the same two structural features that have persisted through much of the year: a shallow inversion at the very front end, and a shallow inversion at the very long end, with a broadly upward-sloping belly in between. We do not read either inversion as signaling an imminent policy shift; both are small in magnitude and have been stable in shape for several months.

Our house view remains that the front-end shape reflects the market pricing a modestly higher probability of near-term policy easing than is priced further out the curve, while the long-end shape reflects technical demand for the very longest maturities from insurance and pension buyers rather than a growth or inflation signal.

Curve Shape - Front End

As of the most recent published Treasury par yield curve, the 6-month bill yields 4.01%, modestly above the 1-year yield of 3.98%. This is a genuine, published inversion rather than a rounding artifact, and it has been a persistent feature of the front end for several publication dates running. We read this as the market pricing a somewhat greater chance of a rate cut within the next twelve months than is reflected in the very shortest bill, which is more anchored to the current policy rate.

We would caution against reading too much directional signal into the front-end shape alone; a shallow bill-curve inversion of this size has historically been consistent with a range of subsequent policy paths, and we do not treat it as a standalone recession indicator.

Curve Shape - Long End

At the long end, the published 20-year yield of 4.93% sits above the 30-year yield of 4.91%, a second genuine inversion on the same curve. This pattern has become a more or less permanent feature of the long end since the 20-year tenor was reintroduced, and in our view reflects structural demand and supply dynamics specific to the 20-year point - including its relatively smaller issuance size and the resulting liquidity premium - rather than a market view about growth or inflation thirty years out.

We do not attempt to trade the 20s/30s inversion directionally; we treat it as a structural, largely non-informative feature of the curve, distinct in character from the front-end shape discussed above.

Policy Path and Positioning

We continue to expect the policy path over the balance of the year to be data-dependent, with incoming labor market and inflation readings likely to matter more for the timing of any policy move than any single Fed communication event. Our duration positioning remains close to benchmark, with a modest bias toward the belly of the curve, where we see the most attractive carry relative to the front end without taking on the structural, largely technical long-end inversion described above.

Curve steepener positioning (belly versus long end) has performed reasonably well for clients who have held it through the recent range-bound trading, and we would look to add to that positioning on any further flattening driven by long-end technical demand rather than by a fundamental growth or inflation catalyst.

Historical Context for the Front-End Shape

Front-end inversions of the kind we describe above are not unusual in the run-up to, or in the early stages of, an easing cycle; the bill curve has shown a broadly similar shape at comparable points in each of the last several cycles, typically resolving as the policy rate itself moves rather than as the curve re-steepens on its own ahead of an actual policy change. We would treat a further, more pronounced steepening of the bill curve as a more reliable signal that the market has moved a policy change materially closer in time than a modest, stable inversion of the kind currently observed.

By contrast, the 2-year to 10-year segment of the curve has behaved quite differently over the same historical window, generally tracking the market's evolving view of the terminal policy rate and term premium rather than the near-term timing question the front end reflects. We continue to view the 2s/10s relationship as the more informative single read on the market's medium-term growth and inflation expectations, distinct from the front-end and long-end shapes discussed elsewhere in this note.

Cross-Market Comparison

Comparing the Treasury curve's shape to other major sovereign curves, we note that both UK gilts and German Bunds have shown broadly similar front-end shapes over the same period, consistent with a shared global market view that the major developed-market central banks are in a broadly similar phase of their respective policy cycles, even where the precise timing of the next move differs by jurisdiction.

The long-end inversion we describe for Treasuries is somewhat more idiosyncratic; gilts have shown a flatter, rather than inverted, long end over the same window, which we attribute to differences in the specific maturity buckets each market's long-duration institutional buyer base targets rather than to any difference in the two markets' inflation or growth outlook.

Portfolio Implications by Investor Type

For total-return-oriented accounts, we continue to favor a modest overweight to the belly of the curve funded from the front end, on the view that carry and roll-down in the belly remain attractive relative to the front end without taking on the long end's structural, largely technical inversion. For liability-driven accounts with long-duration mandates, we

would note that the long-end inversion described above reflects structural, not fundamental, factors, and see no reason for such accounts to deviate from their standard duration-matching approach on the basis of the shape alone. For cash-management accounts concentrated in bills, we would flag that the front-end shape described above means that rolling very short bills continues to carry a modest yield disadvantage relative to extending slightly further out the bill curve, a gap we would expect to persist for as long as the current front-end shape itself persists.

Technical Supply and Demand Factors

On the supply side, Treasury issuance has continued to skew toward the front end of the curve as a share of total issuance, consistent with recent quarterly refunding announcements, which we view as a modest structural support for front-end yields remaining anchored relative to a scenario with a more duration-weighted issuance mix. On the demand side, money market fund assets have remained near record levels, providing a deep and consistent bid for bills and other very short-duration instruments.

At the long end, demand from insurance and pension accounts for the specific 20-year point has remained a persistent feature of the market since the tenor's reintroduction, and continues in our view to be the primary driver of the 20s/30s inversion discussed above, rather than any shift in those accounts' underlying view of long-run growth or inflation.

Inflation Backdrop

Headline inflation readings have continued to moderate gradually over the past several months, with shelter cost inflation remaining the single largest contributor to the year-over-year rate even as the pace of new lease inflation has cooled materially from its post-pandemic peak. Core goods prices have been roughly flat to modestly negative on a year-over-year basis, while core services prices excluding shelter have continued to run somewhat firmer, consistent with the persistent, if gradually easing, wage growth discussed in the Beige Book-style regional commentary we and others publish separately.

Breakeven inflation rates implied by the Treasury Inflation-Protected Securities market have remained well within their range of the past two years, suggesting the market continues to view the current policy framework as credible on the inflation dimension. We would treat a sustained, material move higher in breakevens as a more informative signal about the market's inflation expectations than any single month's headline inflation print.

FX and Global Linkages

The dollar has traded in a comparatively narrow range against the other major developed-market currencies over the review period, consistent with the broadly synchronized policy backdrop across major central banks discussed in the Cross-Market Comparison section above. We would not characterize current dollar levels as a significant independent driver of the Treasury curve shape one way or the other over the near term.

Foreign official-sector demand for Treasuries, to the extent it is observable in the published data, has remained broadly stable as a share of outstanding marketable debt, without the kind of pronounced shift we have seen in prior periods of significant reserve-management rebalancing. We continue to view domestic institutional and household demand, rather than foreign official flows, as the more important marginal driver of Treasury demand at present.

Money Market and Repo Market Conditions

Overnight funding markets have continued to function smoothly, with repo rates trading within their usual range around the policy rate and no recurrence of the year-end and quarter-end funding pressure episodes that drew attention in prior years. Reserve balances in the banking system have remained ample by historical standards, and we have not seen evidence in the data we track that balance sheet runoff, to the extent it continues, is meaningfully tightening funding conditions at present.

Money market fund assets under management have remained near their recent highs, with government fund assets continuing to represent the large majority of the total. We would view a sustained, meaningful rotation of assets out of government money market funds and into other short-duration vehicles as a signal worth monitoring for its potential read-through to bill demand, though we see no evidence of such a rotation in the current data.

Term Premium Decomposition

Decomposing long-end yields into an expected-short-rate-path component and a term premium component, using the standard approach several regional Federal Reserve research staffs publish, term premium has accounted for a modestly larger share of the move in long-end yields over the past year than changes in the expected short-rate path itself. We view this as broadly consistent with the fiscal-supply-driven narrative for long-end yields that has been a common theme across sell-side rates research over the same period.

We would caution that term premium estimates of this kind are model-dependent and can differ meaningfully across providers using different methodologies; we present the directional conclusion here as one input among several rather than as a precise, load-bearing estimate in its own right.

Seasonal and Calendar Effects

Treasury market liquidity has historically thinned somewhat around major summer holiday periods and year-end, and we would expect the same seasonal pattern to hold this year, meaning that any given day's price action during those windows should be weighted somewhat less heavily than price action during more liquid periods of the calendar when assessing whether a genuine shift in the curve's shape is underway.

Quarterly refunding announcements and the associated Treasury Borrowing Advisory Committee materials remain, in our view, the single most useful recurring data point for updating our supply-side view of the curve, more so than any individual auction result, since a single auction's outcome is more heavily influenced by idiosyncratic dealer

positioning around that specific auction date.

Client Positioning Themes

Across the client base we have direct visibility into, duration positioning has been broadly close to benchmark on average, with the modest belly-favoring bias we describe in our own house view somewhat more pronounced among total-return accounts than among the liability-driven accounts discussed above, consistent with the latter group's structurally different mandate. We have not observed a broad-based tactical short-duration positioning of the kind that would typically accompany a market genuinely bracing for an imminent, large policy surprise.

Options market pricing for interest rate volatility has remained within its recent range, without the kind of pronounced skew toward downside rate protection that would signal the market was positioning defensively for a sharp growth scare. We would treat a sustained move higher in implied rate volatility, particularly if concentrated in the front end of the curve, as a more informative signal of a genuine shift in market expectations than the modest, structurally-explained curve shapes discussed throughout this note.

Dealer surveys we track informally through client conversations continue to show a wide dispersion of views on the timing of the next policy move, which we take as a further sign that the market is not unusually convicted in either direction at present - a state of affairs consistent with the range-bound, technically-driven curve shape we describe throughout this note rather than any strong consensus directional view.

Comparison to the Prior Quarter's Note

Relative to our prior quarterly note, the qualitative shape of both the front-end and long-end inversions discussed above is essentially unchanged, and our overall duration and curve positioning recommendations are correspondingly unchanged. The most notable incremental development since our last note has been the modest further moderation in headline inflation readings discussed in the Inflation Backdrop section, which has reinforced rather than altered our existing view.

We would flag to clients revisiting this note after some time that our framework for interpreting the two curve inversions - front-end as policy-timing-related, long-end as structural and technical - has been stable across multiple publication cycles now, and we would treat a genuine breakdown in that framework, rather than a modest change in the specific yield levels involved, as the more meaningful signal worth flagging in a future note.

We plan to revisit this framework explicitly, rather than simply updating the levels discussed, at our next scheduled quarterly note, and would welcome client feedback in the interim on any aspect of the curve shape discussion above that clients would find useful to see expanded.

Scenario Analysis: Alternative Policy Paths

In our base case, we expect the policy path over the balance of the year to follow the data-dependent, gradually-easing pattern described throughout this note, with the front-end curve shape continuing to reflect a modestly elevated probability of near-term easing rather than an imminent, large policy move. Under this base case, we would expect the belly of the curve to continue outperforming both the front end and the long end on a total-return basis, consistent with our current positioning recommendation.

In an upside scenario where labor market data deteriorates more sharply than we currently expect, we would anticipate a more pronounced steepening of the front end of the curve as the market prices a faster and larger easing path, with the belly of the curve likely outperforming the front end by a wider margin than in our base case as duration extension demand increases. We would expect this scenario, if realized, to be accompanied by a widening in credit spreads across risk assets more broadly, a dynamic we discuss at greater length in our separately published credit strategy commentary.

In a downside scenario where inflation data proves stickier than currently expected, we would anticipate a delay in the timing of any policy easing, likely flattening the front-end curve shape we describe above as the market pushes out the probability-weighted timing of the next move. We would not expect this scenario, on its own, to meaningfully alter the long-end inversion discussed throughout this note, since we continue to view that inversion as driven predominantly by structural and technical factors rather than by the inflation or growth outlook.

Investor Q&A Themes from Recent Client Meetings

In client meetings over the past several weeks, the most common question we have received has been whether the front-end curve inversion discussed above should be read as a recession signal; our consistent answer, elaborated in the Historical Context section above, is that a shallow bill-curve inversion of this magnitude has historically been consistent with a range of subsequent outcomes and should not be treated as a standalone recession indicator.

A second recurring question has concerned whether the 20s/30s long-end inversion represents an attractive relative-value trading opportunity; our answer has consistently been that we view this inversion as structural, driven by insurance and pension demand concentrated at the 20-year point, and therefore not something we would recommend trading against on a tactical basis absent a clear catalyst for that structural demand to shift.

A third recurring question has concerned how much weight to place on the term premium decomposition discussed above relative to more direct measures of the expected policy path; we have consistently cautioned clients that term premium estimates are model-dependent and should be treated as one input among several, consistent with the caveat in the Term Premium Decomposition section.

Glossary of Terms Used in This Note

Term	Definition as used in this note
Front end	Treasury maturities out to approximately two years

Belly	Treasury maturities from approximately two to ten years
Long end	Treasury maturities of twenty years and longer
Term premium	The compensation investors require for holding longer-dated bonds beyond the expected path of short rates
Steepener	A position that benefits when longer-dated yields rise relative to shorter-dated yields, or fall by less

Data Sources and Methodology Note

The Treasury tenor levels cited throughout this note are drawn directly from the U.S. Department of the Treasury's published daily par yield curve for the date indicated. We do not adjust, smooth, or otherwise modify the published levels for the purpose of this commentary; where we discuss a curve shape or inversion, we are describing the published levels themselves rather than any internally modeled or interpolated value.

Term premium and options-implied volatility figures referenced above are drawn from standard published methodologies used across the sell-side rates strategy community and from Meridian's own internal analytics platform respectively; neither is drawn from, or intended to represent, any single client's own portfolio positioning.

Risks to the Outlook

The principal risk to our range-bound curve view is a sharper-than-expected deterioration in labor market data, which would likely steepen the front end of the curve meaningfully as the market prices a faster policy easing path. A second risk is a resurgence in long-end term premium driven by fiscal supply concerns, which would work against our belly-favoring positioning bias.

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